

PayRozgar

Software Requirements Specification (SRS)

Simple Payroll, Attendance & Overtime Management for Small Businesses

Version: 1.0

Date: 13 August 2026

Target: Small owner-operated shops and local businesses

Document Purpose

PayRozgar is a lightweight payroll and workforce-management system for general stores, chemists, stationery shops, bakeries, workshops, cafés, small restaurants and similar businesses. It lets one owner/manager manage employees, attendance, overtime, advances, deductions, payroll and payment history.

1. Introduction

1.1 Purpose

The system replaces paper registers, spreadsheets and manual salary calculations with a simple digital workflow.

1.2 Product Vision

PayRozgar should answer the owner's core question quickly: **How much do I have to pay each employee?**

1.3 Intended Businesses

- General/kirana stores
- Medical/chemist shops
- Stationery and book stores
- Bakeries and small food businesses
- Small restaurants and cafés
- Repair shops and workshops
- Local retail stores
- Other small businesses with a limited workforce

2. Scope

2.1 MVP In Scope

- Owner authentication and business setup
- Employee management
- Salary configuration
- Daily attendance
- Working-hours tracking
- Overtime recording and calculation
- Leave/absence tracking
- Salary advances and deductions
- Monthly payroll calculation
- Payroll approval and payment status
- Employee payslips/pay statements
- Payroll and attendance history
- Dashboard and monthly summaries
- Search/filtering and export/shareable records

2.2 Out of Scope for MVP

- Recruitment
- Corporate performance management
- Complex HR policy management
- Full accounting/bookkeeping
- Inventory management

- GST/tax filing
- Banking/payment processing as a financial institution
- Large-enterprise HR workflows

3. User Roles

3.1 Owner/Manager

- Create and manage the business
- Add/edit/deactivate employees
- Configure salary and overtime rules
- Record/approve attendance
- Record overtime, leave, advances and deductions
- Generate, review and finalize payroll
- Mark salaries as paid
- View reports and historical records

3.2 Employee

- View personal attendance
- View overtime
- View salary calculation
- View advances/deductions
- View previous payslips
- Optionally acknowledge payment

4. Functional Requirements

FR-01 — Authentication & Business Setup

- Owner can register/login using a secure authentication method.
- Owner can create a business profile with name, category and contact details.
- Owner can edit business settings.

FR-02 — Employee Management

- Owner can add, edit and deactivate employees.
- Employee fields include name, phone, joining date, role/designation and salary type.
- Salary types support at least monthly and daily/hourly models.
- Employees with historical payroll should be deactivated rather than hard-deleted.
- Each employee has a unique internal ID.

FR-03 — Attendance

- Attendance is recorded by employee and date.
- Statuses include Present, Absent, Half Day and Leave.
- Duplicate attendance for the same employee/date is prevented.
- Authorized users can correct attendance.

- Monthly attendance summaries are available.

FR-04 — Working Hours & Overtime

- Optional clock-in/clock-out times can be stored.
- Total working hours can be calculated from timestamps.
- Owner can configure normal working hours.
- Overtime can be recorded or calculated.
- OT supports fixed hourly rates or configurable multipliers.
- Owner can make manual OT adjustments.
- OT records are linked to the payroll period.

FR-05 — Leave & Absence

- Owner can record leave/absence.
- Paid and unpaid leave are configurable.
- Unpaid absence affects salary where applicable.
- Leave balances can be added in a future version.

FR-06 — Advances & Deductions

- Owner can record salary advances.
- Owner can record deductions/adjustments.
- Each adjustment stores amount, date and reason.
- Adjustments are reflected in the relevant payroll period.
- Historical adjustments remain auditable.

FR-07 — Payroll Calculation

- Calculate base salary/wages.
- Apply attendance-based adjustments.
- Add overtime earnings.
- Apply configured additions.
- Subtract advances.
- Subtract deductions.
- Calculate final net payable amount.

Illustrative formula: $\text{Net Pay} = \text{Base Pay} + \text{Overtime} + \text{Additions} - \text{Advances} - \text{Deductions}$

FR-08 — Payroll Approval & Payment

- Generate payroll for a selected period.
- Review each employee's calculation before finalization.
- Payroll states: Draft, Finalized and Paid.
- Mark individual salaries as paid.
- Store payment date and optional payment method/reference.
- Finalized payroll requires an explicit reopen/edit action.

FR-09 — Payslip / Pay Statement

- Generate a clear pay statement for each employee.
- Show pay period, base pay, overtime, additions, deductions and net pay.
- Optionally show attendance and OT totals.
- Allow download/share.

FR-10 — Dashboard

- Current payroll period
- Total employees
- Total payable payroll
- Pending payments
- Attendance/overtime highlights
- Quick actions for employees, attendance and payroll

5. Payroll Example

Component	Example
Monthly salary	■15,000
Present days	25
Overtime	8 hours
OT rate	■80/hour
Overtime earnings	■640
Advance	■2,000
Other deductions	■0
Illustrative net pay	■13,640*

*Illustrative only; actual calculation depends on configured salary and attendance rules.

6. Data Requirements

Entity	Key Data
Business	ID, name, category, contact, settings
Owner	ID, authentication, business association
Employee	ID, name, phone, role, joining date, salary config, status
Attendance	Employee ID, date, status, clock-in/out, notes
Overtime	Employee ID, date, hours, rate/multiplier, amount
Adjustment	Employee ID, type, amount, date, reason
Payroll	Period, employee, gross, deductions, net, status
Payment	Payroll ID, date, method, reference, status

7. Non-Functional Requirements

7.1 Usability

- Mobile-first and usable on low-end devices.
- Common tasks should require minimal steps.
- Indian currency/date formats should be supported.
- The UI should be understandable to non-technical shop owners.

7.2 Performance

- Normal screens should load quickly on typical mobile networks.
- Payroll calculations should complete near-instantly for small workforces.
- Initial architecture should support at least 1–100 employees per business.

7.3 Reliability

- Payroll data must be persisted safely.
- Duplicate payroll for the same employee/period must be prevented.
- Critical payroll operations should be transactional.

7.4 Security & Privacy

- Authentication credentials are never stored in plaintext.
- Users can access only authorized businesses.
- Payroll data is protected in transit and at rest where supported.
- Important payroll changes have audit information.
- Employee data collection should be limited to product needs.

8. Recommended Architecture

A practical MVP can use a responsive web app/PWA, REST/JSON backend and relational database.

- Frontend: React/Next.js or equivalent
- Backend: Node.js/Express or Python/FastAPI/Flask
- Database: PostgreSQL
- Authentication: Secure session/JWT approach
- PDF payslip generation
- Cloud deployment with managed database
- Optional WhatsApp/SMS/email notifications later

9. Key Screens

- Login / Sign Up
- Business Setup
- Dashboard
- Employees
- Add/Edit Employee
- Attendance
- Employee Attendance Detail

- Overtime
- Advances & Deductions
- Payroll
- Payroll Employee Detail
- Payslip
- Payment History
- Business Settings

10. User Stories

ID	User Story
US-01	As an owner, I want to add an employee so PayRozgar can track their work and salary.
US-02	As an owner, I want to mark attendance quickly so I don't need a paper register.
US-03	As an owner, I want overtime calculated automatically so I avoid manual mistakes.
US-04	As an owner, I want to record an advance so it is deducted from the correct salary.
US-05	As an owner, I want to review payroll before paying so I can catch errors.
US-06	As an owner, I want to mark salaries as paid so I know what is still pending.
US-07	As an employee, I want to see my salary calculation so I understand my pay.
US-08	As an owner, I want historical payroll so I can refer to previous months.

11. MVP Acceptance Criteria

- Owner can create a business and log in.
- Owner can add/edit/deactivate employees.
- Attendance can be recorded by date.
- Overtime can be recorded and calculated.
- Advances and deductions can be recorded.
- Payroll can be generated for a period.
- Owner can review and finalize payroll.
- Net pay is calculated according to configured rules.
- Owner can mark employees as paid.
- A pay statement can be generated.
- Historical payroll/attendance remains available.
- Unauthorized users cannot access another business's payroll data.

12. Future Enhancements

- Employee mobile/PWA access
- QR/PIN attendance
- WhatsApp payslip delivery

- UPI/payment integrations
- Automatic salary reminders
- Multi-branch businesses
- Multiple managers and permissions
- Advanced reports and expense tracking
- India-specific statutory payroll features where legally appropriate
- Offline-first attendance
- AI-assisted payroll anomaly detection

13. Product Principle

PayRozgar should feel like a digital salary register, not enterprise HR software. Every feature should save the owner time, reduce calculation errors, or make employee payments easier to understand.

End of Software Requirements Specification